ATHENA ECONOMICS

The Castel Group

Wine, family and a €1bn reassessment?

Place of Effective Management (POEM)



Place of Effective Management (POEM): The Castel Group's Tax Affairs in France

Wine, Family and a EUR 1 Billion Reassessment?

Summary

- *A governance dispute within the Castel Group has brought a potential French tax reassessment of up to EUR 1 billion into public view. Reports suggest that the issue concerns the place of effective management (POEM).*
- *Modern substance analysis has not displaced effective management as a basis for examining French taxing rights.*
- *Practitioners should test whether transfer pricing documentation, board records and actual decision-making tell a consistent story.*
- *The Castel affair has the makings of a Greek tragedy. POEM may resemble the Minotaur: ancient, powerful and feared, almost forgotten, yet still alive in the shadows of the labyrinth.*

The Castel Group at a glance: Wine and beer for the last French empire in Africa

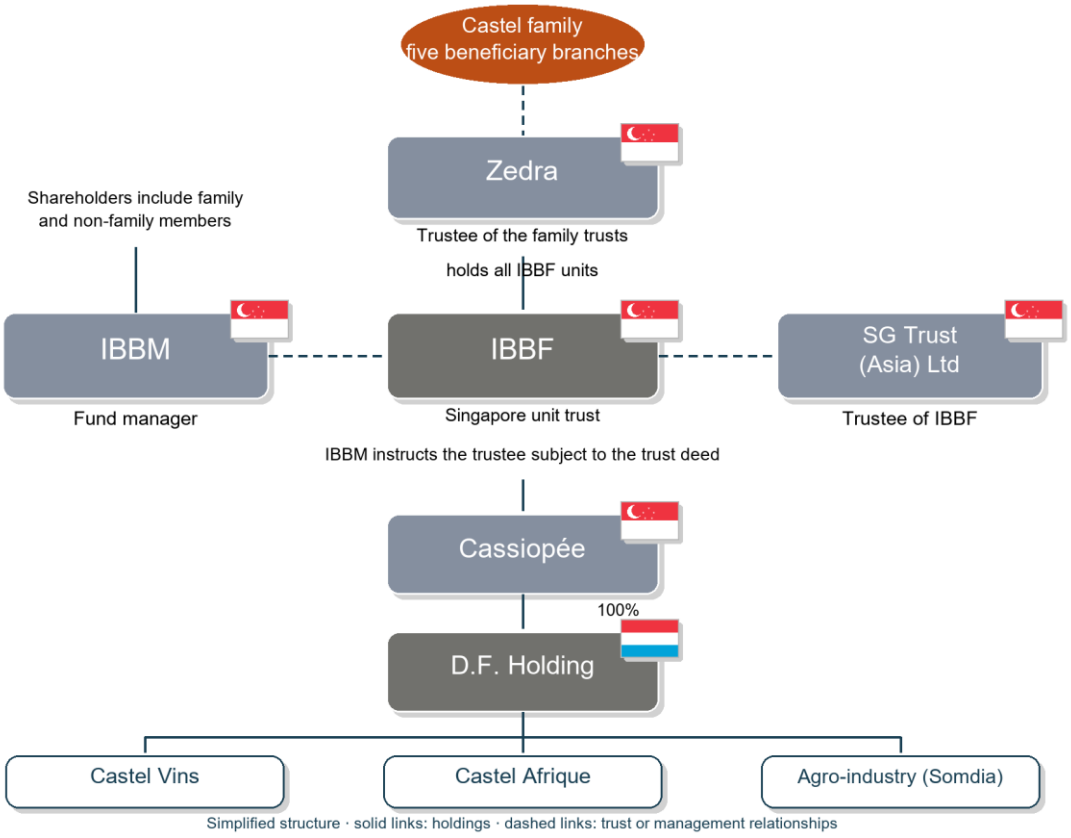
The privately held Castel Group reported approximately EUR 7.0 billion in revenue in 2025 and employed around 43,000 people across three divisions:[1]

- **Wine (Castel Vins; EUR 1.1 billion in 2025):** Castel is described as the world's third-largest wine producer by volume. Its brands include Baron de Lestac, Listel and Kriter, and it owns the Nicolas wine-shop chain.
- **Beer and soft drinks in Africa (Castel Afrique; EUR 5.3 billion in 2025):** The division accounts for approximately 76% of group revenue. Its operations span 22 African countries, including Cameroon, and 80 production sites.
- **Agro-industry (Somdia; EUR 0.5 billion in 2025):** The division focuses principally on sugar and cereals, with operations in six African countries.

[1] Castel Group / D.F. Holding, Sustainability Report 2025, p. 5, source.

The Castel Group was founded in Bordeaux in 1949 by Pierre Castel and his siblings. Pierre Castel turned 100 on 17 October 2026. He placed the group within a Singapore-law trust structure centred on IBBF, as outlined below.[2]

Figure 1 Castel Group ownership structure



The context: Greek Tragedy in the Empire

The figures: The principal figures in the dispute are:

- **Romy Castel:** The founder's only daughter and the holder of 24.33% of IBBM, the fund management company within the group's ownership structure (see Figure 1).
- **Alain Castel:** The founder's nephew and head of the wine division.[3]
- **Grégory Clerc:** A Swiss tax lawyer who became group CEO in October 2023.
- **Gilles Martignac and Guy De Clercq:** Two longstanding former executives of the group, both from outside the Castel family. Each holds 24% of IBBM.

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[2] Singapore High Court, Castel, Romy Ingrid and others v Investment Beverage Business Management Pte Ltd and others [2026] SGHC 158, 30 July 2026, paras. 4–9, source.

[3] AFP, "Redressement fiscal en vue pour Castel, sur fond de dissensions", La Gazette France, 20 January 2026, source.

Romy Castel, Gilles Martignac and Guy De Clercq together hold 72.33% of IBBM and brought the Singapore proceedings described below. Alain Castel has sided with his cousin Romy.

The dispute: The dispute developed as follows:

- **In December 2025,** Alain Castel was removed from the boards of Cassiopée and D.F. Holding. Romy Castel linked his removal to his challenge to the terms of Clerc's employment contract; the board backed Clerc at a meeting in Luxembourg on 11 December.
- **Almost ten months** of contested shareholder meetings, court proceedings and competing public statements followed.
- **Outcome:** According to reports published on 2–3 October 2026:
  - The Singapore High Court upheld the resolutions removing Clerc and Pierre Baer as IBBM directors.[4]
  - The reported decision strengthens Romy Castel and her allies' position and may pave the way for them to regain control of the group.
  - The decision does not, however, fully establish that outcome:
    - The boards of Cassiopée and D.F. Holding reaffirmed their support for Clerc, and the trustees' role remains a potential obstacle.
    - As at 26 October, the public sources reviewed do not establish that operational control has passed to Romy Castel or that the proposed replacement of IBBM has been completed.

Interest from a tax perspective: For us, as tax practitioners, the relevance of this story lies in what the succession dispute has brought into public view: amid competing accounts, press reports disclosed a potential French tax reassessment of up to EUR 1 billion.

These disclosures may also have served the parties' positions in the governance battle, although the available evidence does not establish to what extent. The issue nevertheless appears important to the group's future: according to the Revue Vinicole Internationale's report of 3 October, Romy Castel's priorities include completing the tax regularisation process and establishing an effective, centralised head office. This is the tax dimension examined below.[5]

The French tax reassessment: Effective Place of Management[6]

The initial statement: On 20 January 2026, Alain Castel told the regional daily Sud Ouest that "Bercy has the Castel group in its sights" after a multi-year investigation, and that a reassessment was "pre-launched". He put the possible amount at around EUR 1 billion, calling it "colossal" and adding that "if we have to, we will pay".

The EUR 1 billion figure had first been reported by the magazine Challenges. Castel Vins subsequently described that figure as a supposition at the upper end of the possible range. No official

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[4] Singapore High Court, [2026] SGHC 197, 25 September 2026, paras. 1–5, source; Le Temps, 2 October 2026, updated 3 October, source; Cassiopée and DF Holding boards, statement of 2 October 2026, source. The court outcome of 2 October is reported by the press; the published September judgment addresses interim measures.

[5] Revue Vinicole Internationale, "Castel : la justice singapourienne tranche la bataille pour le contrôle d'IBBM", 3 October 2026, source. The report describes Romy Castel's stated tax and head-office priorities.

[6] Castel Vins also referred to a separate Onaf investigation, conducted from 2022 to 2025, whose findings were passed to the Parquet National Financier. It said it was awaiting the PNF's conclusions.

assessment of that amount or breakdown between tax, interest and penalties has been made public in the sources reviewed.

Conflicting accounts: The parties within the group give different accounts of the process:

- According to Castel Vins, the reassessment follows a voluntary regularisation request filed in 2022 by the group's "former governance", not by Mr Clerc.
- D.F. Holding, whose CEO is Mr Clerc, expressed "surprise" that one of its subsidiaries, Castel Vins, had spoken publicly about matters that fall exclusively within the group's remit and are confidential.
- It maintains that the regularisation procedure was initiated with the tax authorities in 2024 and that Castel Vins' statements are inaccurate "as to both facts and dates".
- In an internal letter seen by AFP, Mr Clerc also refers to several "tax and social regularisation" projects launched since 2024. One of them is a "major file" with the French tax authority covering periods before he took office. The D.F. Holding board said the matter should remain "strictly confidential".

What the reassessment is about: Castel Vins describes the issue as the location of the group's decision-making centre. It says that "it has been established that the effective seat was in France during that time" and that the main teams remained in France for a period after the Luxembourg entity was set up. These are reported statements, rather than a publicly available finding by the tax authorities or a court.

The public information does not identify with certainty the entities, tax years or legal grounds concerned. Effective management is therefore a possible analytical route, rather than an established explanation of the reported amount. Residence is assessed entity by entity; the profits of a holding company must not be confused with those of its subsidiaries.

Place of effective management: The French State of Play

Definitions: The place of effective management (POEM) is the location where the people with ultimate decision-making authority actually take the strategic decisions governing an entity's business as a whole.

The French analysis starts with domestic law, including Article 209-I of the General Tax Code, which determines the territorial scope of corporate income tax. The applicable tax treaty must then be examined to determine whether its provisions on residence, permanent establishments and profit attribution restrict France's right to tax.[7]

For treaty purposes, the place of effective management can be used in three different ways:

- **As the primary residence test:** under some treaties, often older ones, a company's treaty domicile is determined directly by its place of effective management.

[7] French General Tax Code, Article 209-I, source. A place of management in France may also constitute a permanent establishment under the applicable treaty; see Wagons-Lits below.

- **As an automatic tie-breaker:** under certain more recent treaties, where a company is resident in both States under their domestic laws, it is deemed resident solely in the State where its effective management is situated.
- **As one factor among others:** since 2017, the OECD Model leaves dual residence to be resolved by the competent authorities through a mutual agreement procedure, taking into account the place of effective management, the place of incorporation and other relevant factors. Agreement is not guaranteed.[8]

Impact: That residence can affect several areas of taxation:

- Corporate income tax and the allocation of taxing rights over business profits.
- Taxation of dividends, including eligibility for treaty relief.
- Taxation of royalties and service fees, including any applicable withholding taxes.

Exposure: The exposure may extend beyond the corporate tax itself. Where undeclared operations in France qualify as an undisclosed business activity (activité occulte), the assessment period can extend to ten years and an 80% penalty can apply to the tax due.[9]

There may also be consequences for individuals, VAT and social contributions, but each follows its own rules and must be assessed separately. They are not automatic consequences of residence for corporate income tax purposes.

Criteria: French courts look at how the entity is actually managed, rather than relying solely on its registered office or formal governance arrangements. Relevant indicators include:

- **Meetings of governing bodies:** Where the board and other senior management bodies meet, and whether those meetings involve genuine decision-making.
- **Decision-making in practice:** Where the entity's strategic choices are developed and decided, beyond their formal approval.
- **People and resources:** Where the personnel and facilities supporting management are located. Their adequacy is relevant evidence, not an independent test of effective management.
- **Senior executives:** Where those with decision-making authority live and perform their duties; residence alone is not conclusive.

Burden of proof: An effective-management challenge under Article 209-I does not require proof of a non-arm's-length advantage under Article 57. The authorities must substantiate the French tax nexus and the profits assessed. Where assessment on a default basis is lawfully available under Articles L. 66 and L. 68 of the Tax Procedures Code, Article L. 193 places the burden of proving that the assessment is excessive on the taxpayer. No prior formal notice is required where the statutory conditions for an undisclosed activity are met. This procedural consequence is not specific to POEM and may also arise in a permanent-establishment case.[10]

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[8] OECD Model Tax Convention, Articles 4(3) and 25, 2017 version, source.

[9] French Tax Procedures Code (Livre des procédures fiscales), Article L. 169, source; French General Tax Code, Article 1728(1)(c), source. The ten-year period and 80% penalty require the conditions for activité occulte to be satisfied; a residence reassessment alone does not make them automatic.

[10] French Tax Procedures Code, Article L. 66(2), Article L. 68 and Article L. 193; Conseil d'État, 4 April 2025, no. 461220, Conversant / Valueclick, para. 7, source.

Tax treaty developments: Under France–Luxembourg treaties:[11]

- **Under the 1958 treaty:** a legal entity's fiscal domicile is located at its effective centre of management (Primary Residence Test model)[12].
- **Under the 2018 treaty:** an entity resident in both States is deemed resident solely in the State where its place of effective management is situated. The treaty retains the automatic POEM tie-breaker rather than adopting the competent-authority agreement approach introduced in the 2017 OECD Model.

Case law:

- **In CA Animation,** the Conseil d'État held that board meetings in Luxembourg did not outweigh evidence that contracts continued to be signed and decisions taken in France, while the holding company had only limited resources in Luxembourg.[13]
- **In Anotech,** the Paris Administrative Court of Appeal found that an intragroup shared-services agreement did not prevent French effective management where the commercial strategy and management of the business were in substance conducted from France. The courts reconstruct the exercise of decision-making authority; limited foreign substance supports that inquiry but is not a stand-alone residence test.[14]
- **Wagons-Lits** illustrates a related but distinct route: the court held that management of the holding activity from France constituted a French permanent establishment under the applicable France–Belgium treaty. This was a finding about the establishment through which that activity was carried on, rather than a general transfer of the company's residence.[15]

The Castel Case: What does it tell us about the place of effective management?

Has DEMPE killed POEM? For taxpayers accustomed to the scrutiny of actual conduct, control over risks and functions relating to intangibles, effective management may appear to be an older, less sophisticated concern. The significant people functions (SPF) used in permanent establishment profit attribution already require close attention to who does what and where decisions are taken. Taxpayers applying these approaches rigorously should therefore be alert to the weaknesses of a foreign registered office unsupported by real decision-making. In that practical sense, modern transfer pricing governance may already address much of the factual risk behind a traditional effective-management challenge.[16]

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[11] The applicable version depends on the years concerned; the 2018 treaty generally applies from 2020, subject to its commencement rules. France–Luxembourg treaty signed 20 March 2018, Articles 4(3), 24 and 30, source.

[12] If effective management is situated in neither contracting State, fiscal domicile falls back to the registered office. France–Luxembourg treaty signed 1 April 1958, as amended, Article 2(4), source.

[13] Conseil d'État, 15 March 2023, no. 449723, CA Animation, source.

[14] Cour administrative d'appel de Paris, 11 December 2024, no. 23PA01641, Anotech Energy Global Solutions Ltd, paras. 5–8, source.

[15] Conseil d'État, 7 March 2016, no. 371435, paras. 5–7, source.

[16] DEMPE means development, enhancement, maintenance, protection and exploitation of intangibles. SPF means significant people functions, relevant to the attribution of assets and risks to permanent establishments. OECD Transfer Pricing Guidelines 2022, Chapters I and VI, source; OECD, Additional Guidance on the Attribution of Profits to Permanent Establishments under BEPS Action 7 (2018), section A, source.

Yet the question remains: what role does POEM play in the current tax landscape?

The practitioners' perspective: Dispersed governance can make the concept more difficult to apply consistently. Corporate residence was one of the main topics at the IFA congress in Lisbon in October 2025:

- Panellists discussed whether a single place of effective management can be identified where governance is split between different bodies and key decision-makers work in several jurisdictions.

  The concern is the predictability of the test and the risk of competing residence claims, rather than the disappearance of effective management as a relevant concept.[17]

OECD developments and mobility: Cross-border remote work and increasingly mobile executives make the geography of decision-making less straightforward. The November 2025 update to the OECD Model Tax Convention clarifies when cross-border home working may create a permanent establishment under Article 5. It does not introduce a general solution for locating effective management where decision-makers work in different jurisdictions.[18]

- **Modern substance analysis has not displaced effective management as a basis for examining French taxing rights.**
- **Practitioners should test whether transfer pricing documentation, board records and actual decision-making tell a consistent story.**
- **The Castel affair has the makings of a Greek tragedy. POEM may resemble the Minotaur: ancient, powerful and feared, almost forgotten, yet still alive in the shadows of the labyrinth.**

[17] IFA, 77th Annual Congress, Lisbon, 6 October 2025, Main Subject 1 Session Report, sections 2.4–2.6 and 3, source.

[18] OECD, The 2025 Update to the OECD Model Tax Convention, Commentary on Article 5 (pp. 13–33), source.